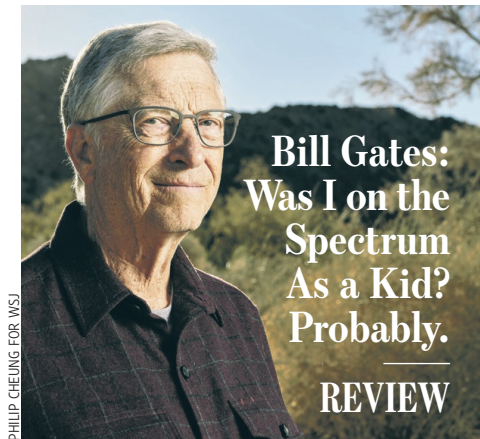




WSJ

THE WALL STREET JOURNAL WEEKEND



DOW JONES | News Corp ***** SATURDAY/SUNDAY, JANUARY 25 - 26, 2025 ~ VOL. CCLXXXV NO. 20 WSJ.com ★★★★★ \$6.00

What's News

Business & Finance

◆ **U.S. existing-home sales** fell in 2024 to the lowest level since 1995, the second straight year of anemic sales because of stubbornly high mortgage rates. **A1**

◆ **Target said** it would end workforce diversity targets it established three years ago, including a pledge to increase the representation of Black employees across the company by 20%. **B9**

◆ **Zuckerberg announced** a huge leap in Meta Platforms' capital spending this year to between \$60 billion to \$65 billion, an increase driven by artificial intelligence and a massive new data center. **B9**

◆ **Verizon's quarterly earnings** came in just above Wall Street forecasts with higher prices helping boost revenue, as more customers than expected signed up for wireless phone service. **B9**

◆ **Ericsson shares slumped** 13% as higher operating costs and weakness in some of its business units dented fourth-quarter earnings. **B9**

◆ **Banks are getting ready** to sell billions of dollars in debt borrowed by Elon Musk's X. **B10**

◆ **The S&P 500 jumped** 1.7% for the week, touching its first record close of 2025 while the Nasdaq and Dow rose 1.7% and 2.2%, respectively. **B11**

World- Wide

◆ **Pete Hegseth** overcame accusations of sexual assault and excessive drinking to be confirmed as defense secretary in a 51-50 vote, with Vice President Vance breaking the Senate tie. **A4**

◆ **The Pentagon readied** more than 5,000 troops from war-fighting units to deploy to the southwestern U.S., moving to fulfill Trump's order to escalate the military role along the border. **A3**

◆ **Trump toured** areas of the Pacific Palisades that were severely damaged by wildfires, meeting with California Gov. Newsom, after earlier visiting hurricane-ravaged Asheville, N.C. **A4**

◆ **A number** of government gears stopped turning as the president's early interventions interrupted even some routine functions, including job offers and health updates. **A7**

◆ **Hamas released** the names of the next four Israeli hostages, all female soldiers, to be freed under the Gaza cease-fire deal. **A8**

◆ **The White House** is calling for Israeli troops to be allowed to remain in Lebanon past the expiration date of a cease-fire on Sunday. **A8**

◆ **China's foreign minister**, Wang Yi, held his first phone conversation Secretary of State Rubio, a sign that Beijing is willing to get down to business with the new Trump administration. **A9**

NOONAN

The White House 'Wonder Horse' **A13**

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The Unbearable Cuteness of Being a Panda



STAR ATTRACTION: Bao Li samples some bamboo Friday as he and Qing Bao, a female giant panda, went on public display at the Smithsonian's National Zoo in Washington, D.C. Fans can follow the pair via a Panda Cam link on the zoo's website.

President Sets Breakneck Pace To Try to Deliver on Promises

By ALEX LEARY AND MERIDITH MCGRAW

Four years after departing Washington, defeated and with the nation reeling from the attack on the Capitol, Donald Trump walked through the doors of the White House's South Portico as the 47th president.

"It's great to be back," he told members of the house-

hold staff who applauded his return on Inauguration Day.

Trump then proceeded to kick off a first week in office unlike any other, dominating attention in the U.S. and abroad as he raced to fulfill campaign promises, make deals and settle scores.

Facing high expectations and a limited political window, the president headed to the Oval Office hours after he was

Hegseth Wins Confirmation

Vance breaks a tie in the Senate to approve Trump's pick to lead Pentagon ... **A4**

sworn in Monday. A stack of executive orders waited on the Resolute Desk for his signa-

ture, and an aide asked if Trump wanted to assemble the press corps.

"Let's do it," the president said. For the next 47 minutes, Trump held court, taking questions from reporters in the same venerated office that Joe Biden had occupied hours earlier. Trump called stage directions to a photographer: "Not on the side angle. Do you

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EXCHANGE

RARE AIR

What happens when billionaires go to the Alps for a week. **B1**

Freed Jan. 6 Convicts Emerge As Re-Energized Force for Trump

Enrique Tarrio thought he would be in prison until 2040. As he waited to board a plane to Miami, now a free

By Khadeeja Safdar, Shalini Ramachandran, Vera Bergengruen and Tawnell D. Hobbs

man thanks to President Trump, the Proud Boys leader wasn't certain what was next for him except for one thing: retaliation.

The 40-year-old Tarrio was among the roughly 1,500 individuals who received pardons for their involvement in the Jan. 6, 2021, attack on the U.S. Capitol. "I was innocent of the charges," he said in an interview before his flight, but alleged the legal system was "weaponized" against him and others. Now, he said, it's time to turn the tables and prosecute the prosecutors, including former Attorney General Merrick Garland.

"The name of the game for some of these people is to take the other opponent's pieces off the board," he said. "We can play that game."

Trump's sweeping pardons mark a dramatic turnaround for the far-right groups involved in the Jan. 6 attack. Some resorted to violence to try to prevent the certification of Trump's 2020 electoral loss. The rampage led to the largest prosecution in Justice Department history.

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China Faces Fear Of Snakes

Merchants say scaly creatures are a tough sell

By JONATHAN CHENG

YIWU, China—Li Bingnan got his orders in October: Design a snake-themed sculpture for his hometown—and make the scaly, legless creature cute.

The Year of the Snake is slithering closer, arriving on Jan. 29. That means that across China and wherever the Lunar New Year is celebrated, the race is on to figure out how to create a commercially viable version. For designers of everything from children's trinkets to parade floats, it is the toughest assignment in the traditional twelve-creature zodiac.

"On the one hand, you can't make it too realistic. On the

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Musk Targets German Mainstream Parties, Embracing Far Right

By BOJAN PANCEVSKI

In December, American billionaire and Trump confidant Elon Musk posted a six-word sentence on his social-media platform, X, that jolted Germany's political landscape. "Only the AfD can save Germany," he wrote, embracing the far-right populist Alternative for Germany party, which calls for expelling illegal migrants, leaving the European Union and getting closer to Russia.

Musk endorsed the party—which campaigned against his factory in Germany and has senior members who are vehemently anti-American—after a conversation at Mar-a-Lago with President Trump, Vice President JD Vance and others. During the meeting, Trump, Vance and Musk bashed the leaders of Ger-

many's more mainstream parties, said two people familiar with the conversation.

The episode shows how off-hand comments by Trump and members of his inner circle are ricocheting around the world, amplified by Musk's control of a social-media platform and his own enormous following. Musk, who has sought to use X to shake up the European political establishment, had been souring on Germany and its leaders for some time, according to Musk's public statements and some of those who spoke with him. But his public effort to boost the AfD began hours after the Mar-a-Lago meeting.

During the gathering, Trump told his guests he recently took a call from German Chancellor Olaf Scholz and said he found

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Home Sales Hit Lowest Level Since '95

Higher mortgage rates, record prices subdue sales for second straight year

By NICOLE FRIEDMAN

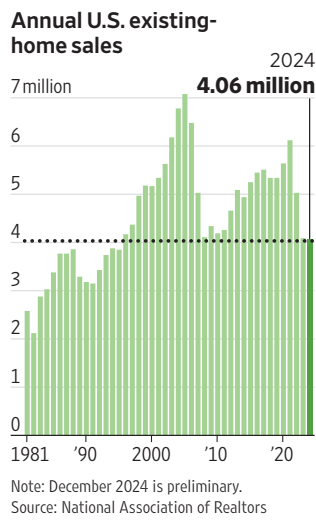
U.S. existing-home sales fell in 2024 to the lowest level since 1995, the second straight year of anemic sales due to stubbornly high mortgage rates.

High costs related to homeownership sapped sales again. The average rate for a 30-year fixed mortgage has hovered between 6% and 8% since late 2022, making it prohibitively expensive for many Americans to buy homes at current prices, which hit record highs last year. Rising home insurance and property tax costs are also adding to homeowners' expenses. Unlike mortgage rates, which fluctuate, these costs are poised to continue rising.

The housing market's outlook this year depends again on mortgage rates, said Rick Palacios Jr., director of research at John Burns Research & Consulting.

"The starting point for 2025 is, you're kind of already starting in a spot with not that much momentum," he said. "I don't really see how that thesis reverses and gets more optimistic as long as

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◆ **Economic activity softens** at start of year **A2**

◆ **Inflation concerns weigh** on consumer sentiment..... **A2**

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